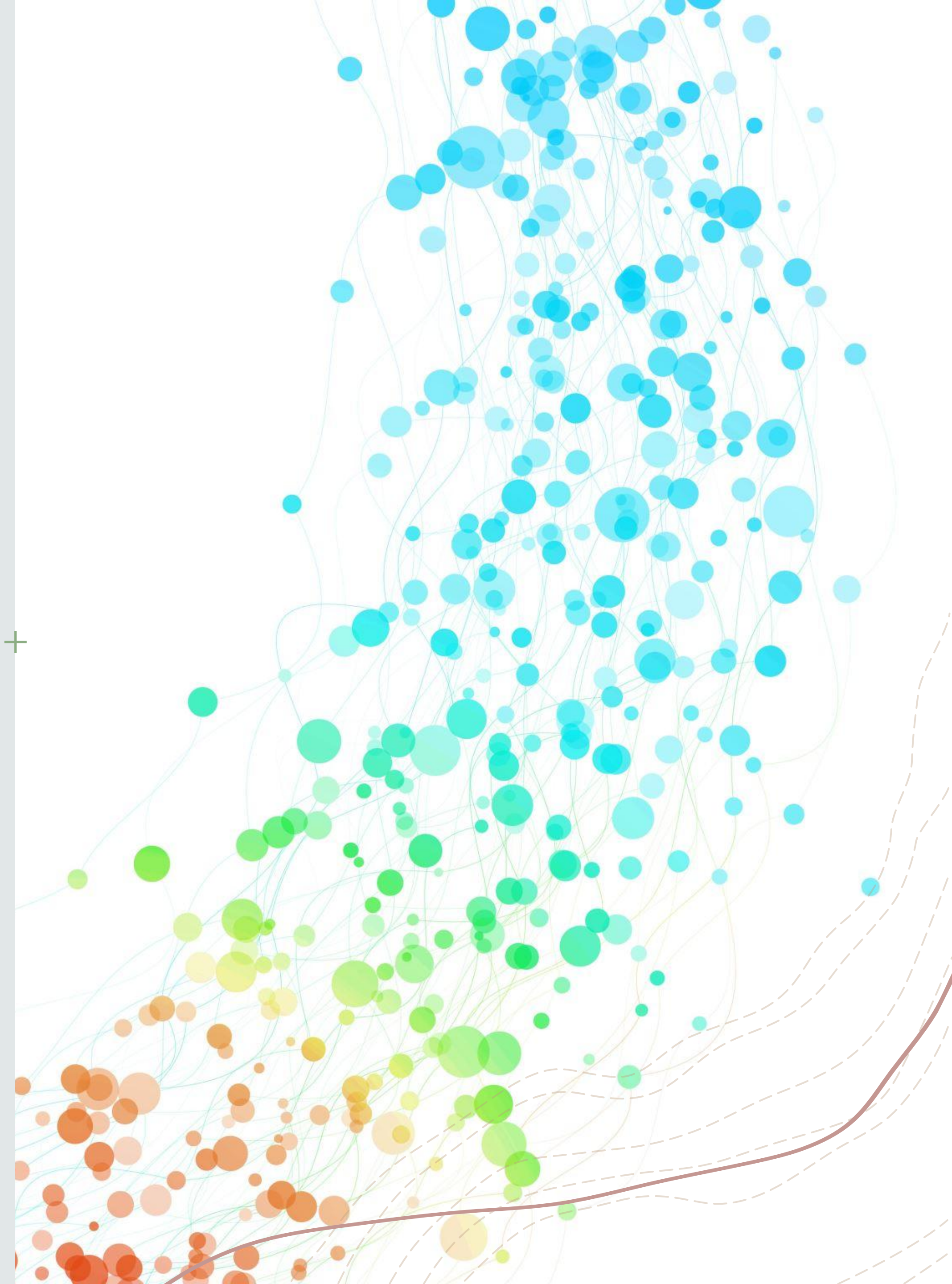
Internet and B2B marketing

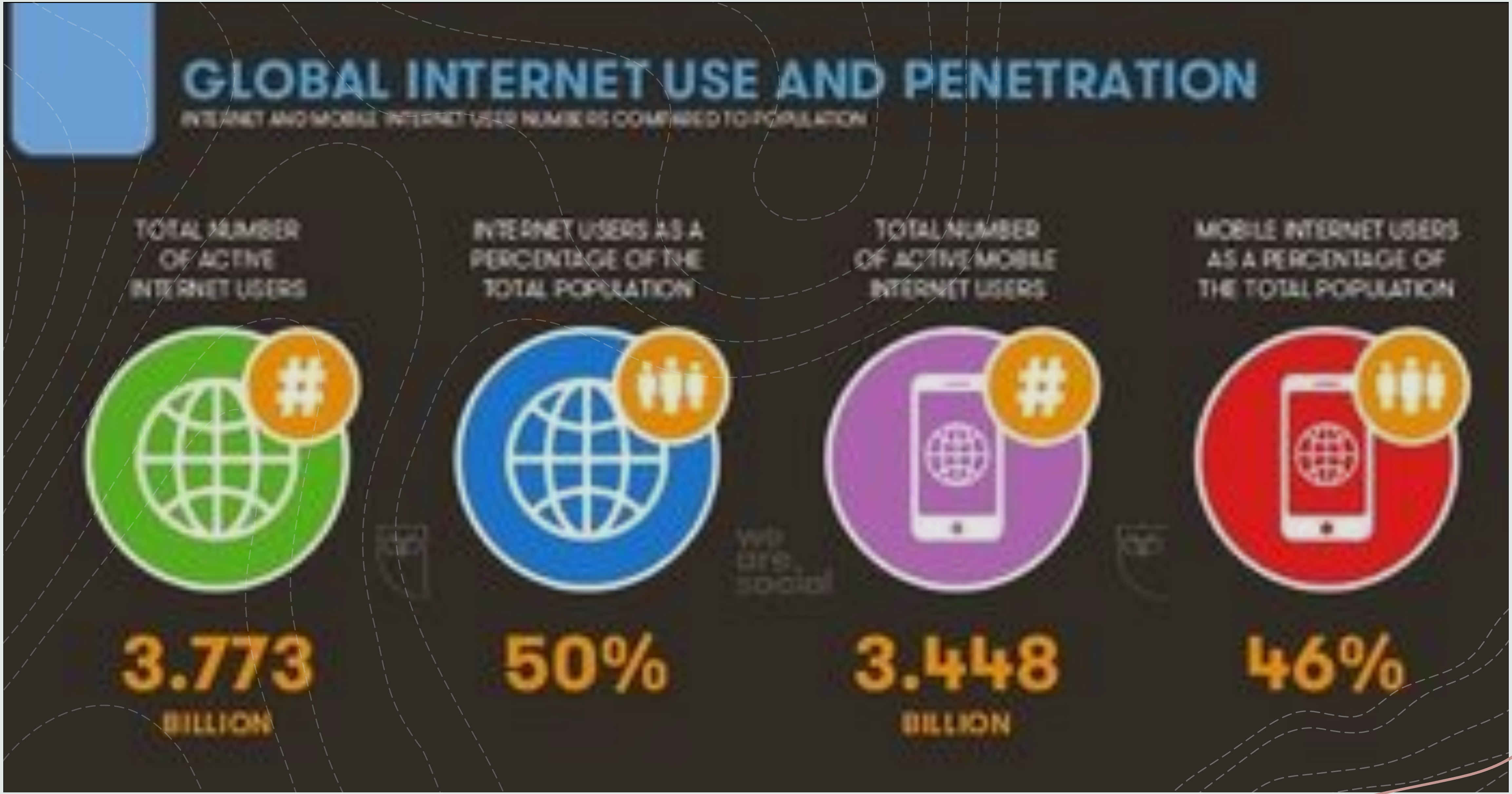


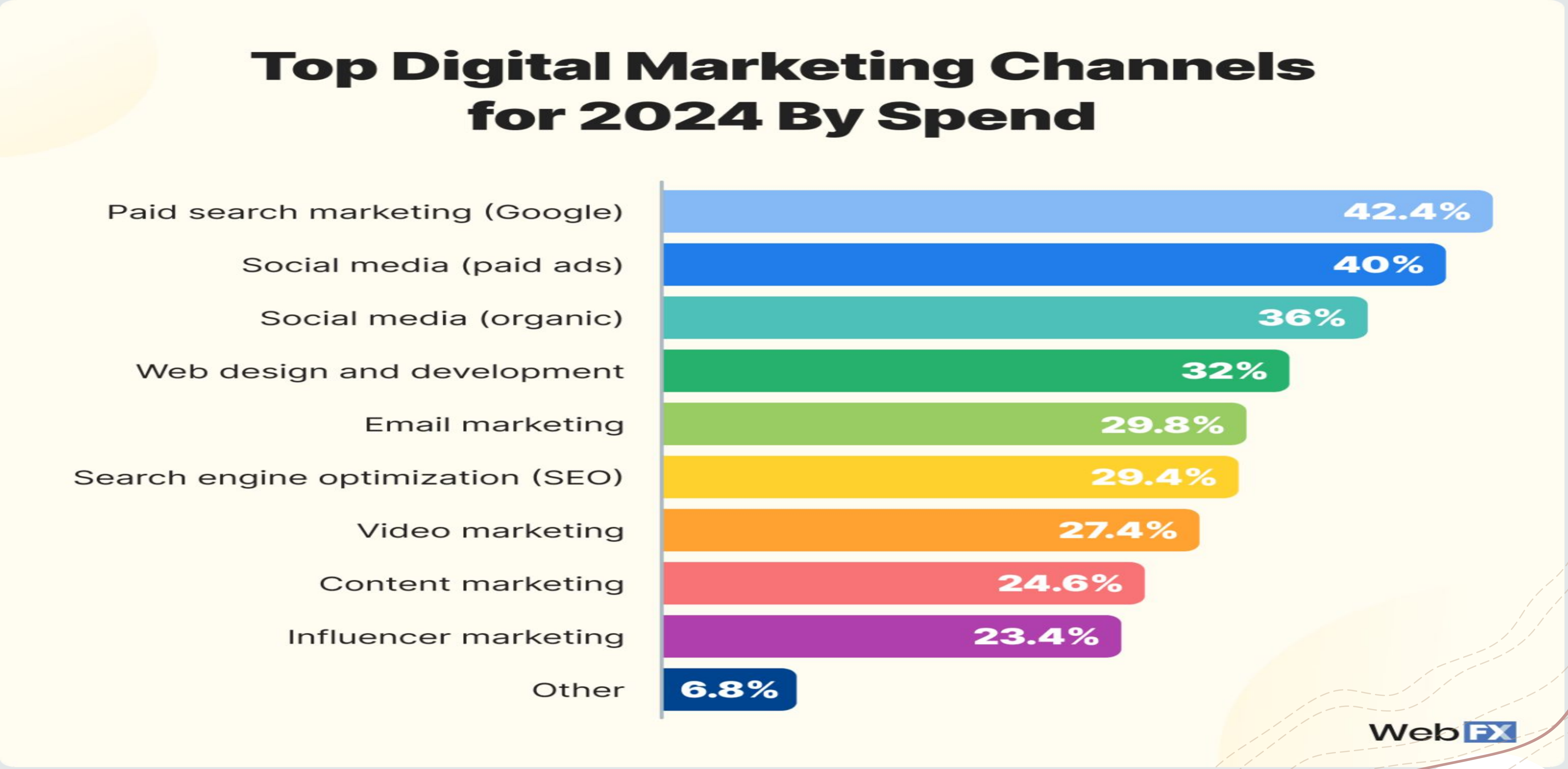
Learning outcome

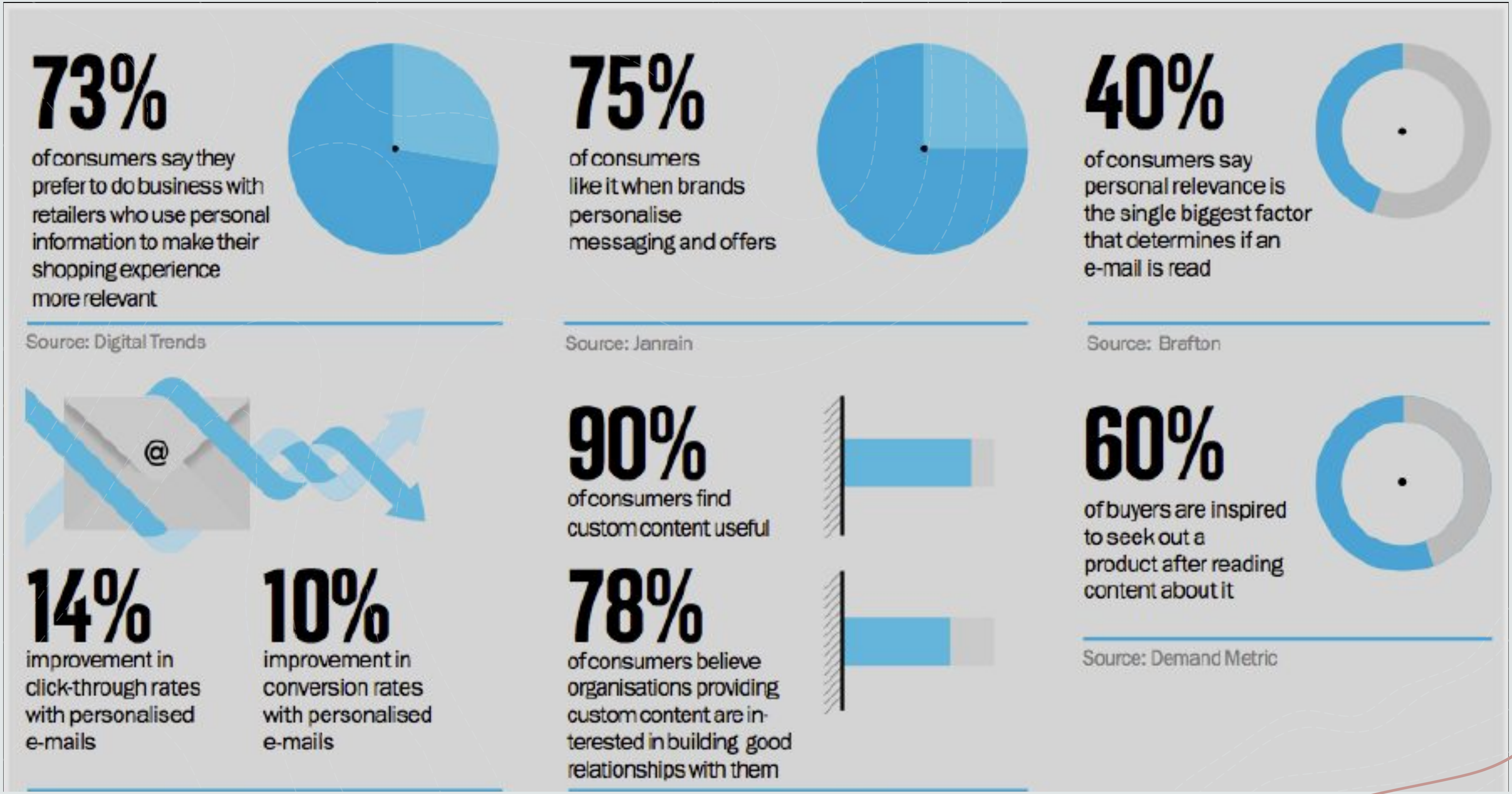
- To understand how digital marketing has transformed marketing
- To know more about digital and multichannel marketing
- To learn more about digital marketing strategies and digital marketing communications

Internet marketing

The newest and fastest-growing channels for communicating and selling directly to customers are digital. The Internet provides marketers and consumers with opportunities for much greater interaction and individualization


GLOBAL INTERNET USE AND PENETRATION
INTERNET AND MOBILE INTERNET USER NUMBERS COMPARED TO POPULATION
TOTAL NUMBER OF ACTIVE INTERNET USERS
3.773 BILLION
INTERNET USERS AS A PERCENTAGE OF THE TOTAL POPULATION
50%
TOTAL NUMBER OF ACTIVE MOBILE INTERNET USERS
3.448 BILLION
MOBILE INTERNET USERS AS A PERCENTAGE OF THE TOTAL POPULATION
46%


Top Digital Marketing Channels for 2024 By Spend
Paid search marketing (Google)
42.4%
Social media (paid ads)
40%
Social media (organic)
36%
Web design and development
32%
Email marketing
29.8%
Search engine optimization (SEO)
29.4%
Video marketing
27.4%
Content marketing
24.6%
Influencer marketing
23.4%
Other
6.8%
WebFX

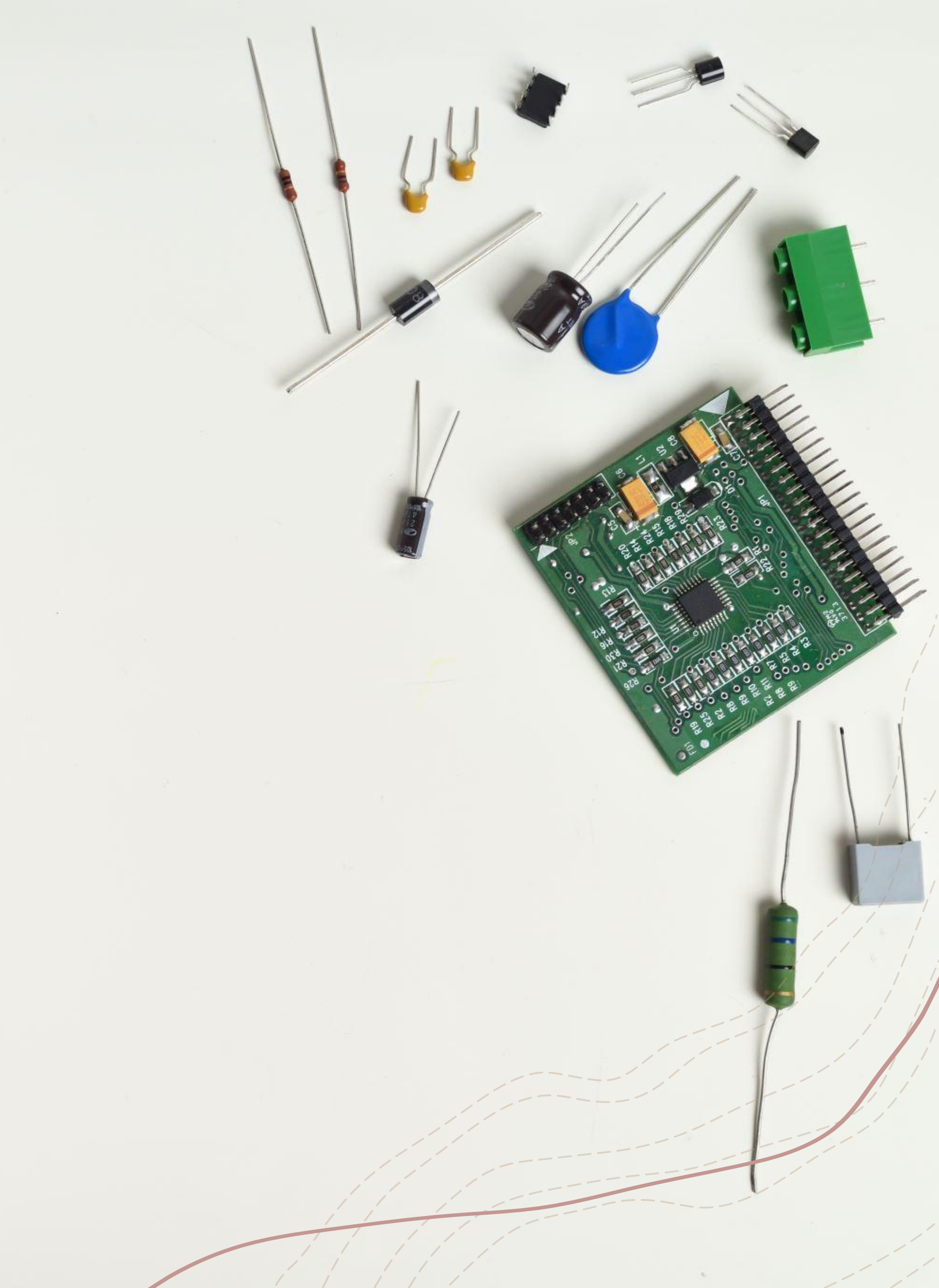

73%
of consumers say they prefer to do business with retailers who use personal information to make their shopping experience more relevant
Source: Digital Trends
75%
of consumers like it when brands personalise messaging and offers
Source: Janrain
40%
of consumers say personal relevance is the single biggest factor that determines if an e-mail is read
Source: Brafton
@
14%
improvement in click-through rates with personalised e-mails
10%
improvement in conversion rates with personalised e-mails
90%
of consumers find custom content useful
78%
of consumers believe organisations providing custom content are interested in building good relationships with them
60%
of buyers are inspired to seek out a product after reading content about it
Source: Demand Metric

Online /E - marketing

Marketing is a process for creating and delivering goods, services, and ideas to customers

e-Business components involved:

+ e-commerce
+ business intelligence
+ supply chain management



Online marketing communications

Categories of online marketing communications, are:

- ✔ Web sites,
- ✔ search ads,
- ✔ display ads,
- ✔ e-mail.

How digital marketing has transformed marketing?

Digital marketing involves the following **“5Ds”** of managing digital marketing interactions:

Digital devices: Our audiences interact with business using a combination of **smart phones, tablets, desktop computers, gaming devices…**

Digital platforms: Most of interactions on these devices are through a **browser or apps** from the major platforms e.g. Twitter, Instagram…

Digital media: Different **communication channels** for reaching and engaging audiences are available including advertising, email and messaging…

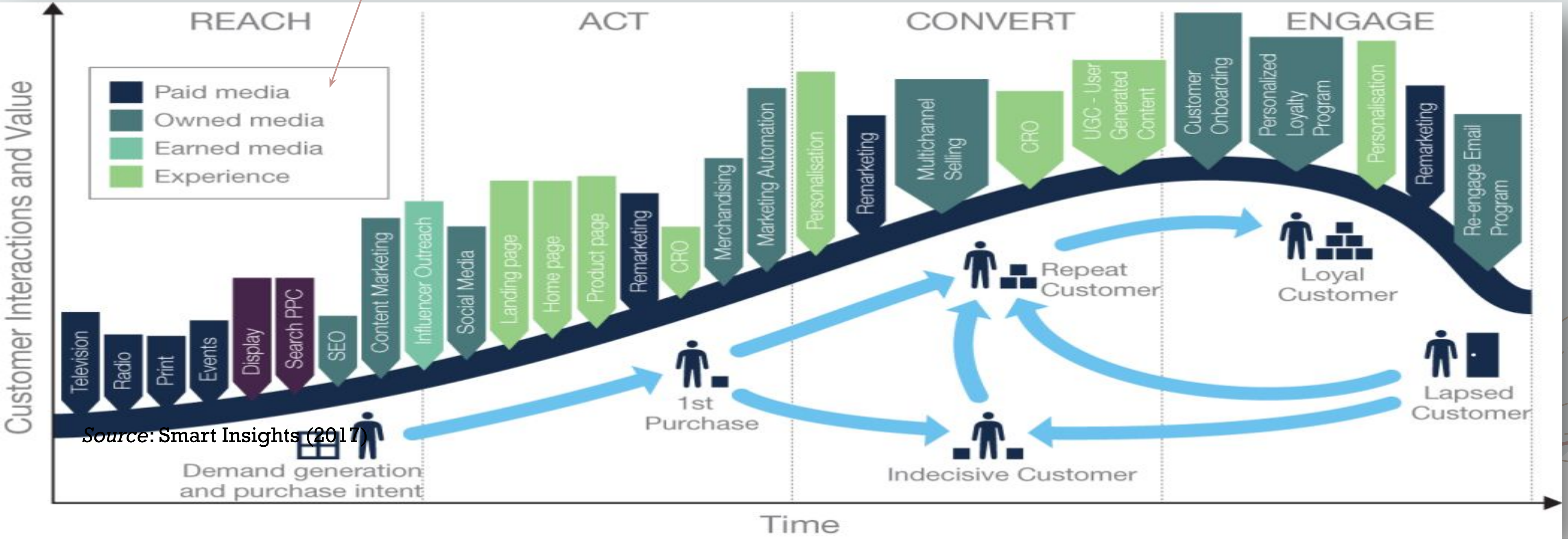
Digital data: The insight businesses collect about their audience profiles and their interactions with businesses now needs to be protected by law in most counties.

Digital technology: The **marketing technology** that businesses use to create interactions from websites and mobile apps to in-store kiosks and email campaigns.

Figure 1.1 Customer lifecycle marketing touchpoint summary for a retailer

The sequence of online and offline touchpoints a customer or buyer takes during a buying process or customer experience. Online this may include a range of digital platforms, communications media, websites, pages and engagement devices.

Many ways available to communicate with prospects and customers across different touchpoints in the customer life cycle



Source: Smart Insights (2017)

What are digital and multichannel marketing?

- **Digital media:** Communications are facilitated through content and interactive services delivered by different **digital technology platforms** including the Internet, web, mobile phone, TV and digital signage (electronic signage).

- **Digital marketing** can be defined as:
  - Achieving marketing objectives **through applying digital media data and technology.**
  - The application of digital media, data and technology integrated with traditional communications to achieve marketing objectives.

- **Online company presence**: Different forms of online media controlled by a company including their website, blogs, email list and social media presences. Today, commonly known as **'owned media'**.

- In practice, digital marketing focuses on managing different forms of **online company presence** , such as company websites, mobile apps and social media company pages, integrated with **online communications techniques** including search *engine marketing, social media marketing, online advertising, email marketing, and partnership arrangements with other websites*
- These techniques are used to acquire new customers, provide services to existing customers, and develop the customer relationship through **CRM**

- **Customer relationship management (CRM):** Using digital communications technologies to maximise sales to existing customers and encourage continued usage of online services through techniques including a database, personalised web messaging, customer services, chatbots (a computer program designed to simulate conversation with human users), email and social media marketing.

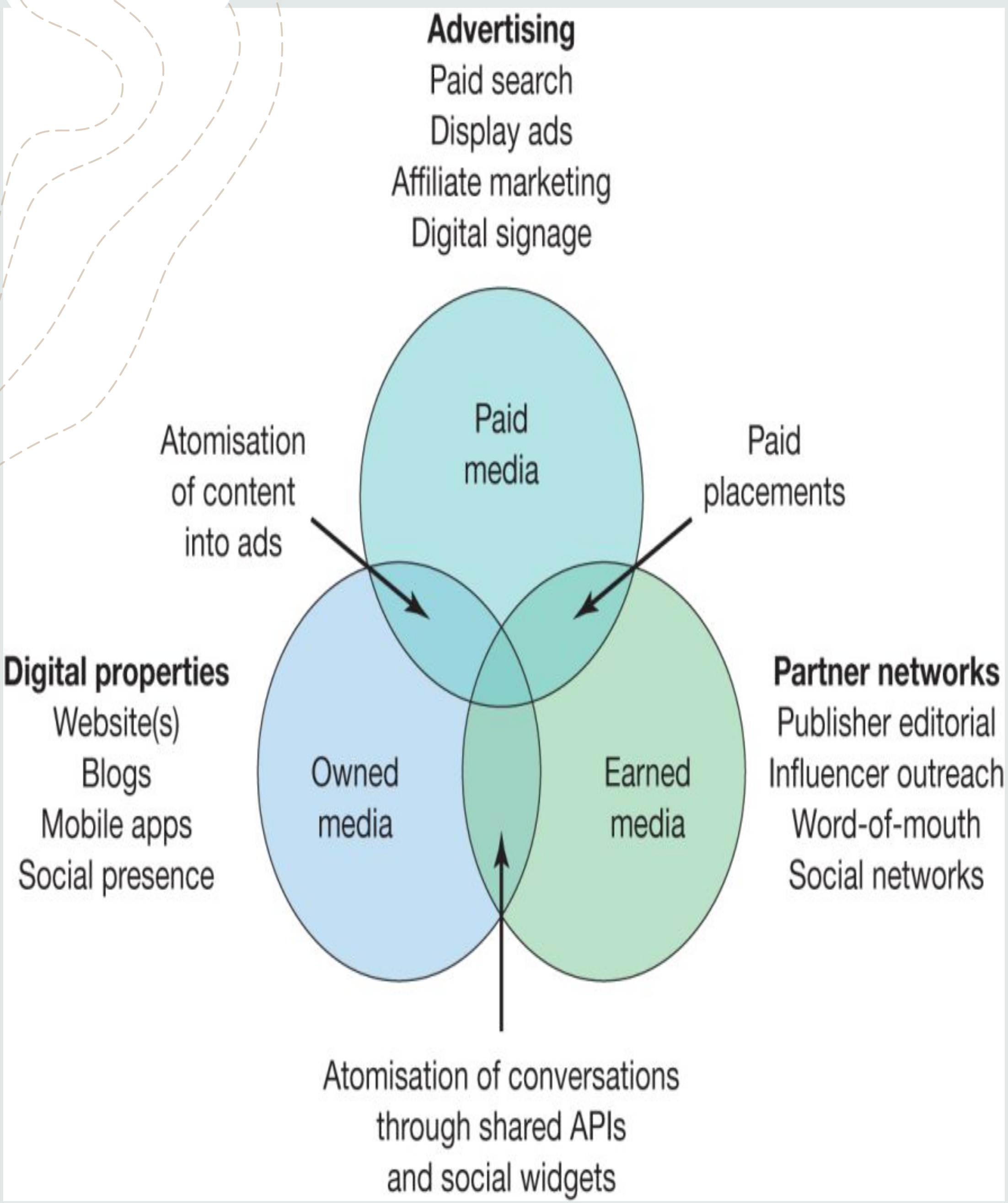
- **Multichannel (omnichannel) marketing:** Customer communications and product distribution are supported by a combination of digital and traditional channels at different points in the buying cycle or 'path to purchase'. With the range of mobile and IoT touchpoints, some have expanded the term to omnichannel marketing.

IoT >> Internet of Things

Paid, owned and earned media

- To help develop a strategy to reach and influence potential customers online, it's commonplace to refer to **three main types of media** channels that marketers need to consider today:
- 1/ **Paid media:** These are bought media where there is investment to pay for visitors, reach or conversions through search, display ad networks or affiliate marketing. Offline, traditional media such as print and TV advertising and direct mail remain important for some brands such as consumer goods brands.
- 2/ **Owned media:** This is media owned by the brand. **Online** this includes a company's own websites, blogs, email list, mobile apps or their social presence on Facebook, LinkedIn or Twitter. **Offline owned media** may include brochures or retail stores.

- 3/ **Earned media**: Traditionally, earned media has been the name given to publicity generated through PR (public relations) invested in targeting influencers to increase awareness about a brand. Now earned media also includes word of mouth that can be stimulated through viral and social media marketing, and conversations in social networks, blogs and other communities.



- There is an overlap between the 3 different type of media.
- This overlap requires integration of campaigns resources and infrastructure through Application programming interfaces (APIs, e.g. Facebook API) and widgets (a simple application extension).
- API : Method of exchanging data between systems such as websites services.

Viral Marketing

Viral marketing encourages people to exchange online information related to a product or service.

Seven Key Design Elements of an Effective WebSite

Context. Layout and design

Content. Text, pictures, sound, and video the site contains

Community. How the site enables user-to-user communication

Customization. Site's ability to tailor itself to different users or to allow users to personalize the site

Communication. How the site enables site-to-user, user-to-site, or two-way communication

Connection. Degree that the site is linked to other sites

Commerce. Site's capabilities to enable commercial transactions

Social media

Social media come in many forms: online communities and forums, blogs, and social networks such as Facebook, Twitter, and YouTube.

Business-to-business (B2B)

Business-to-business (B2B) marketing refers to the practice of promoting products or services to other businesses rather than to individual consumers

Examples of B2C v B2B Marketing

B2C

Business to Consumer

Retailing
Family tourism
Personal banking
House building

B2B

Business to Business

Wholesaling
Business travel
Business banking
Commercial property

B2B: Business to Business	B2C: Business to Consumer
Based on relationships with business buyers	Products more important than relationships
Often small & focused market	Usually larger markets
More complex & longer buying process	Single step buying process; often short (e.g. impulse purchase)
More sophisticated buyers	Less sophisticated buyers
Aim is to turn prospects into buying customers	Emotional considerations affect buying behaviour
Educational element to promotion	Brands very important

Summary and examples of transaction alternatives between businesses, consumers and governmental organisations

To: Consumer of content/service \ From: Supplier of content/service	*Consumer or citizen*	*Business (organisation)*	*Government*
Consumer or citizen	**Consumer-to-consumer (C2C)** • eBay • Peer-to-peer (Skype) • Blogs and communities • Product recommendations • Social network (Bebo™, Facebook, Google+)	**Business-to-consumer (B2C)** • Transactional: Amazon • Relationship-building: BP • Brand-building: Unilever™ • Media-owned – News Corp • Comparison intermediary: Kelkoo™, Pricerunner™	**Government-to-consumer (G2C)** • National government transactional: tax – HM Revenue & Customs • National government information • Local government information • Local government services
Business (organisation)	**Consumer-to-business (C2B)** • Priceline • Consumer feedback, communities or campaigns	**Business-to-business (B2B)** • Transactional: Euroffice • Relationship-building: BP • Media-owned: Emap business productions • B2B marketplaces: EC21 • Social network (LinkedIn, Plaxo™)	**Government-to-business (G2B)** • Government services and transactions: tax • Legal regulations
Government	**Consumer-to-government (C2G)** • Feedback to government through pressure groups or individual sites	**Business-to-government (B2G)** • Feedback to government businesses and non-governmental organisations	**Government-to-government (G2G)** • Inter-government services • Exchange of information

WoM – Word of Mouth Marketing

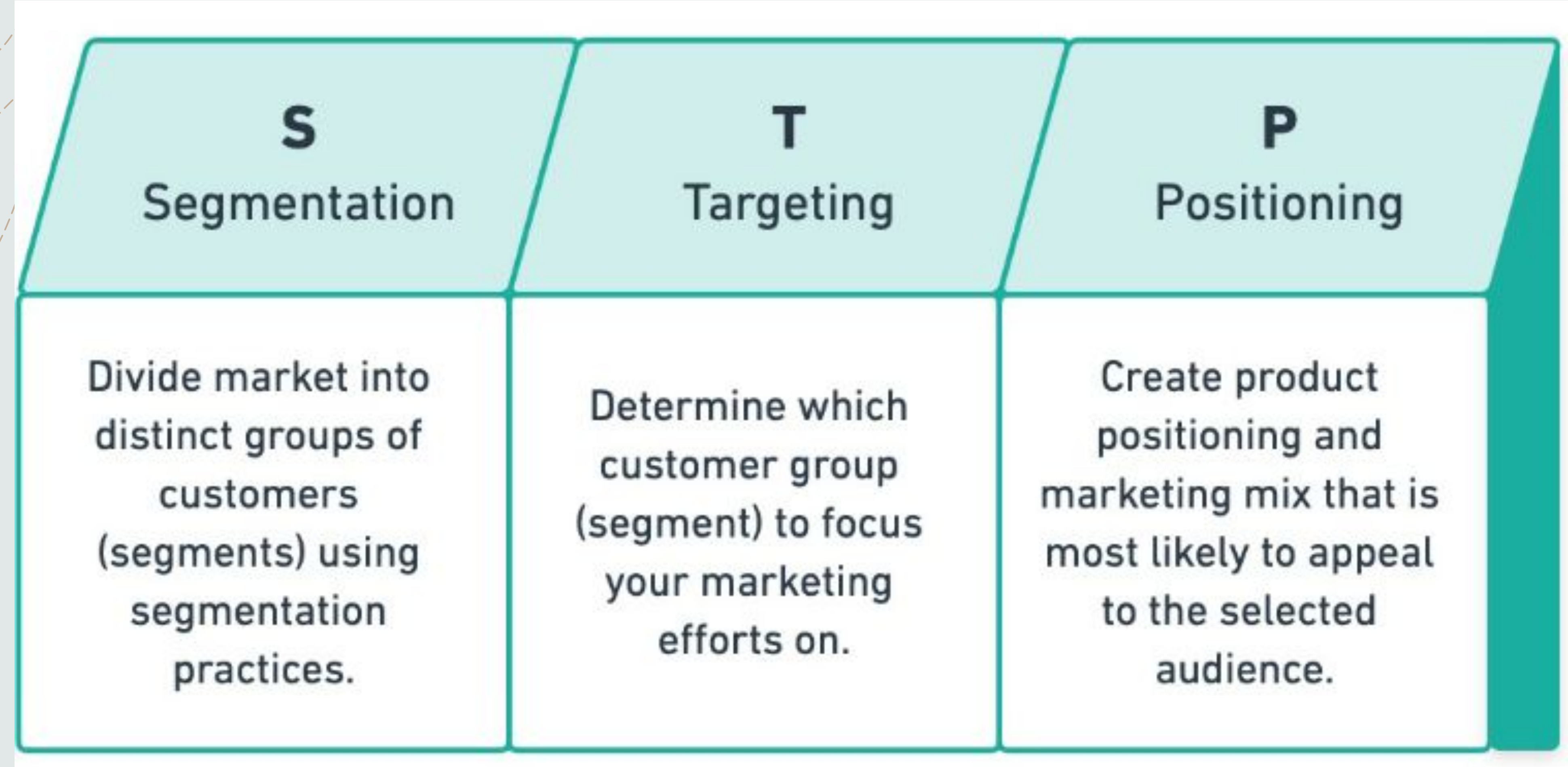
Word-of-mouth marketing finds ways to engage customers so they will choose to talk positively with others about products, services, and brands..

Mobile marketing

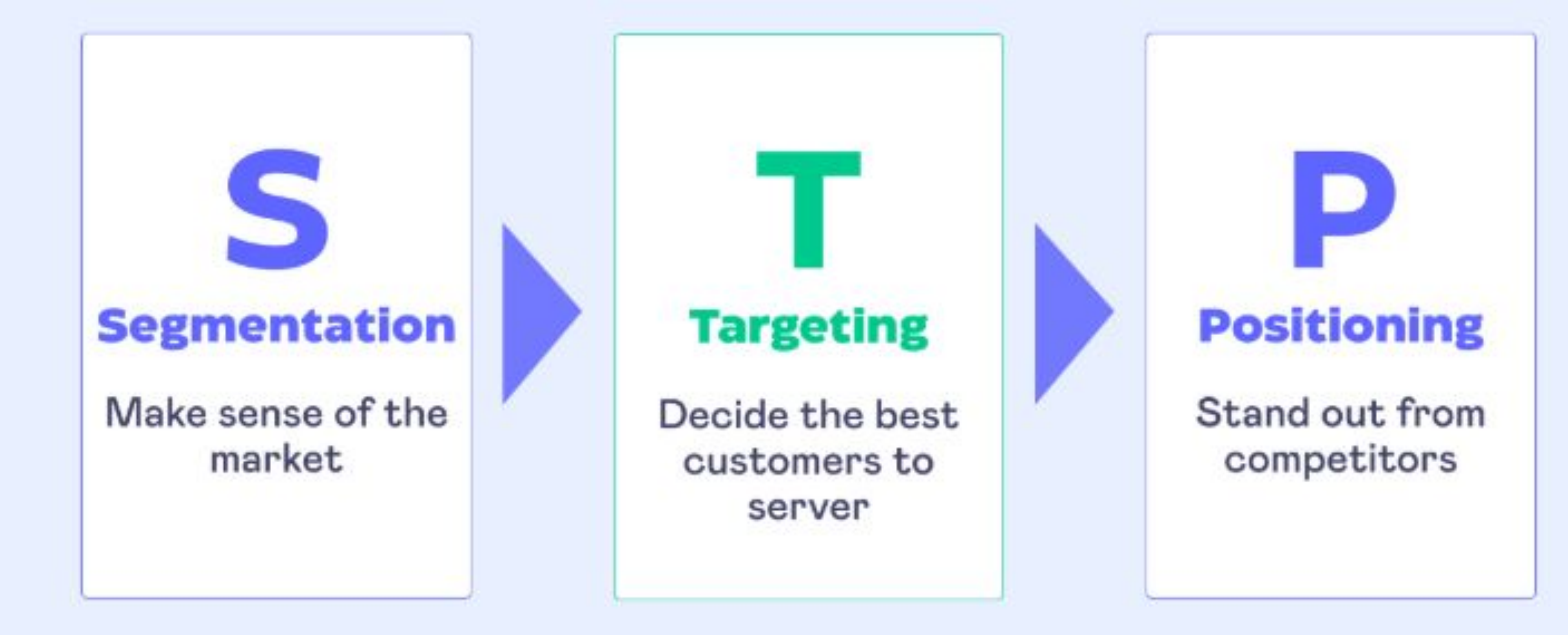
Mobile marketing is an increasingly important form of interactive marketing by which marketers can use text messages, software apps, and ads to connect with consumers via their smartphones and tablets.


PLACE
Retail
Wholesale
Mail order
Internet
Direct Sales
Peer to Peer
Multi-Channel
PRODUCT
Design
Technology
Usefulness
Convenience
Value
Quality
Packaging
Branding
Accessories
Warranties
PRICE
Strategies:
Skimming
Penetration
Psychological
Cost-Plus
Loss leader, etc.
TARGET MARKET
Physical Environment
Smart
Run-down
Interface
Comfort
Facilities
PROMOTION
Special Offers
Advertising
Endorsements
User trials
Direct mailing
Leaflets/posters
Free gifts
Competitions
Joint ventures
Process
Especially relevant to service industries
How are services consumed?
People
Employees
Management
Culture
Customer Service

7 p’s of marketing


S
Segmentation
Divide market into distinct groups of customers (segments) using segmentation practices.
T
Targeting
Determine which customer group (segment) to focus your marketing efforts on.
P
Positioning
Create product positioning and marketing mix that is most likely to appeal to the selected audience.

STP


S
Segmentation
Make sense of the market
T
Targeting
Decide the best customers to server
P
Positioning
Stand out from competitors

Factors to Consider for Determining Market Potential

Market Potential (MP) = N × MS × P × Q

Where-

- N = Total number of potential consumers
- MS = Market share (percent of consumers buying from yo
- P = Average selling price
- Q = Average annual consumption

How to Calculate Sales Potentia

- Market Penetration
- Quantified Purchasing Capacity
- Competitor Growth Rate


STAGES OF ORGANISATIONAL BUYING
PROBLEM RECONGNITION
GENERAL NEED DESCRIPTION
PRODUCT SPECIFICATION
SUPPLIER SEARCH
PROPOSAL SOLICITATION
SUPPLIER SELECTION
ORDER-ROUTINE SPECIFICATION
PERFORMANCE REVIEW


Social Media Marketing
Marketing
Email Marketing
Search Engine Marketing
Mobile Marketing
Web Site
Internet Marketing
Banner Advertising

THE MAJOR COMPONENTS
OF INTERNET MARKETING
Analytics and Data
02
Search Engine Optimization
03
Affiliate Marketing
01
Content Marketing
04
07
05
06
Pay-Per-Click Advertising
Social Media Marketing
Email Marketing

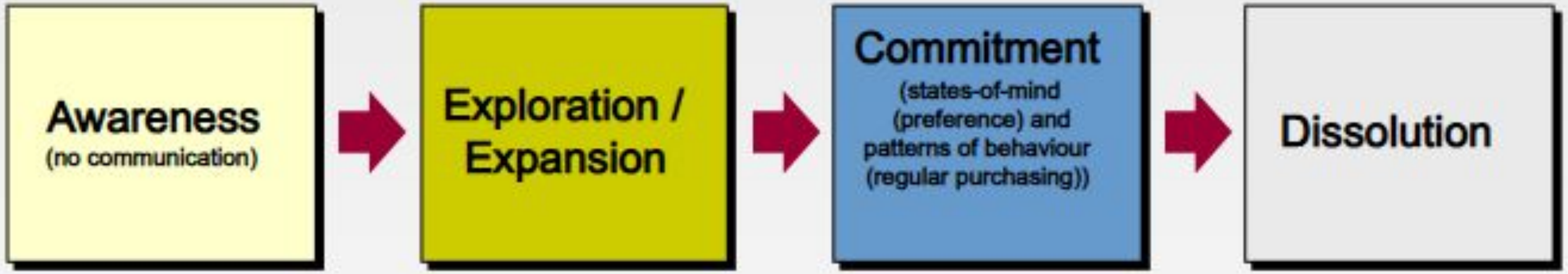
Introduction to Internet Marketing

key characteristics:

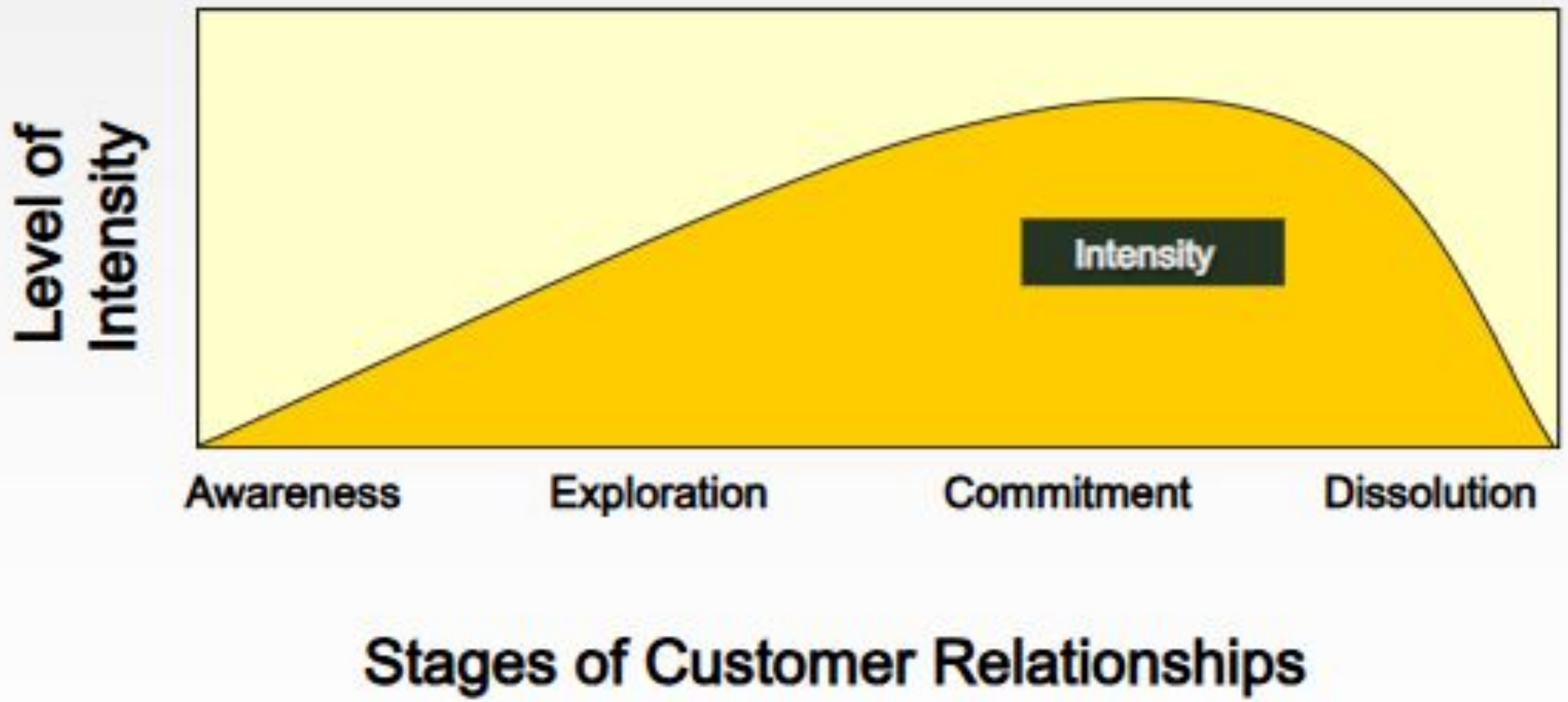
- Internet Marketing is founded largely on components of:
  - Database Marketing
  - Direct Marketing
  - Customer Relationship Management (CRM)
- the Internet allows the firm to actively engage customers by creating marketing levers that allow for **interactivity and individualization** . **(the 2Is)**
- **Individualization** means that the Internet helps the firm build committed, **customer-centric relationships** with its clients.
- one-to-one vs. traditional one-to-many targeting
- the firm leverages the Internet in its marketing strategy by integrating it with offline marketing levers.
- online marketing levers can be leveraged, when appropriate, to decrease or replace the use of offline levers

Focus on CRM (Customer Relationship Management)

Four Key Stages of Customer Relationship



- Build and nurture customer relationships
  - Commitment to brand (ex. Harley Davidson “HOG Club”)
  - Commitment to function (ex. weather.com)
- Observe and determine who to nurture further and who to terminate


Level of Intensity
Intensity
Awareness
Exploration
Commitment
Dissolution
Stages of Customer Relationships

Trends in Marketing Practices

- Reengineering
- Outsourcing
- Benchmarking
- Supplier partnering
- Customer partnering
- Merging
- Globalizing
- Flattening
- Focusing
- Justifying
- Accelerating
- Empowering
- Broadening
- Monitoring
- Uncovering

Thank you